Blurt sheet - Unit 3.1 What is business?

3.1.1 Why Businesses Exist, Mission & Objectives

- **Why businesses exist:** to provide goods and services that meet customer needs and create value for owners and stakeholders
- **Business objectives (AQA):** profit, growth, survival, cash flow, social and ethical
- **Mission:** the overall purpose and values of the business; qualitative and long term
- **Objectives:** measurable targets that turn the mission into action
- Mission → corporate objectives → strategy → functional objectives
- **Why set objectives:** direction, coordination, basis for decisions, measuring performance, motivation

3.1.1 Measuring Profit

- **Revenue:** selling price × quantity sold (also called turnover or sales)
- **Fixed costs:** do not change with output in the short run, e.g. rent, salaries
- **Variable costs:** change directly with output, e.g. raw materials, packaging
- **Total costs:** fixed costs + total variable costs
- **Profit:** total revenue − total costs
- **Why profit matters:** reward for risk, source of finance (retained profit), signal to investors, measure of performance
- **Profit v cash:** profit is revenue minus costs over a period; cash is money actually in the bank

3.1.2 Forms of Business

- **Sole trader:** one owner, keeps all profit, full control, unlimited liability
- **Private limited company (Ltd):** separate legal identity, limited liability, shares sold privately
- **Public limited company (plc):** can sell shares to the public on a stock exchange; risk of takeover
- **Unlimited liability:** owner personally responsible for all business debts
- **Limited liability:** shareholders can lose only what they invested
- **Ordinary share capital:** money raised by selling shares; not repaid; gives votes and dividends
- **Public sector:** owned or controlled by government, e.g. the NHS (a plc is private sector)
- **Social enterprise:** trades like a business with a social or environmental purpose; reinvests most profit
- **Reasons to change form:** limited liability, more finance, credibility; going private to escape stock market pressure

3.1.2 Shareholders, Share Price & Ownership

- **Why shareholders invest:** dividends, capital gain, voting rights
- **Dividend:** share of profit paid to shareholders, usually per share
- **Market capitalisation:** number of shares issued × current share price
- **Influences on share price:** profit forecasts, dividends, new contracts, takeover rumours, management changes, economy
- **Falling share price:** cheaper takeover target, harder to raise share capital, less shareholder wealth
- **Ownership and objectives:** plcs face short-term pressure; family firms value control; social enterprises put purpose first

3.1.3 The External Environment: Costs & Demand

- **External factors (AQA):** competition, market conditions, incomes, interest rates, demographic factors, environmental issues and fair trade
- **Competition:** more rivals means more choice, pressure on prices and margins
- **Rising incomes:** demand for most products rises, especially luxuries; inferior goods may fall
- **Higher interest rates:** higher borrowing costs and lower consumer spending, especially on credit
- **Demographic factors:** size and structure of the population, e.g. ageing population
- **Fair trade:** guaranteed minimum price to producers; higher costs but can support premium price